

Legal Contract Analysis Report

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Executive Summary

Risk Score	30 / 100
Risk Level	Low
Compliance Score	100%
Total Clauses Analyzed	4

Analysis:

Document contains 0 high, 2 medium, and 2 low-risk clauses.

Clause Analysis

1. Termination [Low]

"Termination: Either party may terminate this agreement with 30 days written notice."

Summary: Either party may end the agreement at any time by providing 30 days of advance written notice.

2. Liability [Medium]

"Liability: The total liability of either party shall not exceed the fees paid."

Summary: Each party's total legal financial liability is capped at the amount of fees paid under the agreement.

■ **Suggestion:** Specify whether the cap refers to fees paid over a specific period (e.g., last 12 months) and add standard carve-outs such as gross negligence, willful misconduct, or confidentiality breaches.

3. Confidentiality [Medium]

"Confidentiality: Both parties agree to keep all information confidential."

Summary: Both parties are bound to maintain strict confidentiality over all information shared between them.

■ **Suggestion:** Define what constitutes 'Confidential Information', specify the duration of the confidentiality obligation, and include standard exclusions (e.g., publicly known information, legally compelled disclosures).

4. Governing Law [Low]

"Governing Law: This agreement shall be governed by the laws of California."

Summary: The contract is subject to and interpreted under the laws of the State of California.

■ Compliance Results

Termination — ■ Compliant

Relevant Law: Section 27 of the Indian Contract Act, 1872

Explanation: A standard termination clause with a 30-day written notice period is legally valid and does not impose any restraint on a party's right to exercise a lawful profession, trade, or business.

Liability — ■ Compliant

Relevant Law: Section 28 of the Indian Contract Act, 1872

Explanation: A clause limiting financial liability to fees paid does not restrict a party from initiating legal proceedings or enforcing their contractual rights; it merely caps the quantum of recoverable damages, which is legally valid under Indian law.

Confidentiality — ■ Compliant

Relevant Law: Information Technology Act, 2000 - Section 72 / Indian Contract Act, 1872

Explanation: The clause is legally valid and enforceable under the Indian Contract Act, 1872. Standard contractual obligations to maintain confidentiality do not violate Section 72 of the Information Technology Act, 2000, which penalizes the unauthorized disclosure of information accessed under statutory powers.

■ Relevant Case Laws

Termination

- **Niranjan Shankar Golikari v. Century Spinning & Mfg. Co.** — Supreme Court of India (1967)

Citation: AIR 1967 SC 1098

Established that reasonable termination clauses are enforceable; only unreasonable restraints are void.

- **Suresh Kumar Wadhwa v. State of M.P.** — Supreme Court of India (2017)

Citation: (2017) 14 SCC 757

Held that termination must follow the procedure specified in the contract.

Liability

- **Bharathi Knitting Co. v. DHL Worldwide Express Courier** — Supreme Court of India (1996)

Citation: AIR 1996 SC 2508

Upheld limitation of liability clauses where the parties had expressly agreed to cap damages.

- **Central Inland Water Transport Corp. v. Brojo Nath Ganguly** — Supreme Court of India (1986)

Citation: AIR 1986 SC 1571

Held that unconscionable clauses in standard-form contracts may be struck down.

Confidentiality

- **Bombay Dyeing & Mfg. Co. Ltd. v. Mehar Karan Singh** — Bombay High Court (2010)

Citation: 2010 (112) Bom LR 375

Recognized that confidentiality obligations are enforceable if clearly defined in scope and duration.

- **Zee Telefilms Ltd. v. Sundial Communications** — Bombay High Court (2003)

Citation: 2003 (5) Bom CR 404

Held that breach of confidentiality can be restrained through injunctions.

Governing Law

- **Modi Entertainment Network v. W.S.G. Cricket Pte. Ltd.** — Supreme Court of India (2003)

Citation: AIR 2003 SC 1177

Upheld party autonomy in choosing foreign governing law and jurisdiction.

- **National Thermal Power Corp. v. Singer Co.** — Supreme Court of India (1992)

Citation: AIR 1993 SC 998

Held that foreign governing law does not oust Indian courts' jurisdiction if the contract has sufficient Indian connection.

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